DRAFT - FOR DISCUSSION PURPOSES ONLY - NOT FOR RELIANCE

Report on Cost Certification

Carter & Lowe CPAs | Ashby Mill Lofts | Draft dated September 15, 2025

1. Taxpayer: Riverside Heritage Development LLC

2. The building was placed in service on July 15, 2025, being the date the completed rehabilitation was ready and available for its intended use.

3. We have examined the accompanying schedule of qualified rehabilitation expenditures for the period ended July 15, 2025.

4. Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants.

Schedule of costs

1. The schedule includes costs paid or incurred by the taxpayer for the rehabilitation of the building, as recorded in the project ledger.

2. Costs were traced to invoices, contractor payment applications and bank records on a sample basis.

3. Construction contract $21,900,000

4. Architecture and engineering $1,150,000; legal and accounting (qualified part) $310,000; construction-period interest and insurance $600,000.

5. Developer fee (qualified part) $640,000.

Qualified rehabilitation expenditures and credit

1. Costs for acquisition, land, site work outside the building, parking and furniture are excluded.
2. Costs incurred after the placed-in-service date are excluded.
3. Credit rates applied: 20% federal; 25% Virginia.
4. Total qualified rehabilitation expenditures: $24,600,000
5. Federal rehabilitation credit: $4,920,000

Substantial rehabilitation test

6. The test compares qualified expenditures in the 24-month measuring period with the adjusted basis of the building at the start of that period.

7. Adjusted basis $1,540,000

8. Qualified expenditures in the measuring period exceed the adjusted basis. The test is met.

Note 1 - Basis of presentation

1. This note describes the method used for basis of presentation in the schedule of qualified rehabilitation expenditures and the judgments made by management.

2. Amounts were reviewed against supporting documents provided by the developer.

Note 2 - Allocation of indirect costs

2. This note describes the method used for allocation of indirect costs in the schedule of qualified rehabilitation expenditures and the judgments made by management.

3. Amounts were reviewed against supporting documents provided by the developer.

Note 3 - Developer fee

3. This note describes the method used for developer fee in the schedule of qualified rehabilitation expenditures and the judgments made by management.

4. Amounts were reviewed against supporting documents provided by the developer.

Note 4 - Related-party costs

4. This note describes the method used for related-party costs in the schedule of qualified rehabilitation expenditures and the judgments made by management.

5. Amounts were reviewed against supporting documents provided by the developer.